NexusIQ Corporation — Returns & Refunds Policy

Standard Operating Procedure | Version 3.2 | Effective: January 1, 2024

Owner: Customer Operations | Review cycle: Bi-annual | Last revised: December 15, 2023 | Classification: Internal

1. Purpose and Scope

This policy governs merchandise returns and refund issuance across all NexusIQ sales channels: direct e-commerce, regional distribution partners, and the NexusIQ mobile application. It applies to all 14,979 active customer accounts and all five product categories sold under the NexusIQ brand: Electronics, Home Goods, Sports and Fitness, Clothing and Apparel, and Food and Consumables.

NexusIQ processed 5,685 returns in FY 2024, a 5.7% return rate against 100,000 transactions. Gross refund value totaled approximately $9,201,779 at the average refund of $1,618.61 per return. Managing return friction is a strategic priority: each unresolved return costs an estimated $47.20 in repeat-contact labor and creates measurable churn risk. The Electronics category warrants particular attention given average transaction values above $1,800.

This document should be read alongside the Customer Escalation Policy (Section 4.3 covers return-driven escalation triggers) and the Inventory Reorder SOP (Section 7 addresses restocking returned goods).

2. Return Eligibility Criteria

A return is eligible for processing when all four conditions are satisfied. First, the item must be within the applicable return window defined in Section 3. Windows begin at confirmed delivery, not purchase date. Second, the customer must present a valid order reference number or receipt; loyalty members at Gold tier and above may use account lookup in lieu of a physical receipt. Third, the item must be in original or near-original condition. For Electronics, original packaging must be intact unless a manufacturing defect is documented. Fourth, the return reason must fall within accepted categories: Defective, Not As Described, Wrong Item Shipped, Size/Fit Issue (Clothing only), or Preference Change subject to a shorter window.

Items ineligible for return include opened food products, software licenses and digital downloads, custom or personalized merchandise, and items marked Final Sale at purchase. Suspected fraudulent returns — flagged when an account shows more than three returns in 90 days or return value exceeds 60% of annual purchase spend — route automatically to Risk Operations for manual review. In FY 2024, 147 accounts were flagged and 89 resulted in temporary account holds.

3. Return Windows and Refund Methods by Category

Return windows reflect the nature of each product type and observed customer behavior. Electronics carries the shortest standard window due to activation and licensing considerations. Clothing offers the longest window to accommodate fit-related returns, which represent 44% of all Clothing returns by reason code. The following table defines current return policy parameters effective January 1, 2024.

Category	Standard Window	Defective/DOA Window	Refund Method	Restocking Fee
Electronics	30 days	90 days (mfr warranty)	Original payment; store credit option	None (defective); 15% (preference)
Home Goods	45 days	60 days	Original payment method	None
Sports & Fitness	45 days	60 days	Original payment method	None

Clothing & Apparel	60 days	60 days	Original payment or exchange	None
Food & Consumables	14 days (unopened)	30 days (sealed defect)	Original payment method	None

Window begins at delivery confirmation per carrier tracking. Effective January 1, 2024.

4. Refund Processing Timeline and Status Tracking

Once a return is approved, refunds process through the original payment gateway. NexusIQ's internal processing target is 48 hours from return receipt to refund initiation. FY 2024 actual average was 51.3 hours, slightly above target due to elevated Q4 holiday volume. The returns table in the NexusIQ operations database tracks each return through five statuses. As of year-end 2024, status distribution was as follows:

Status	FY 2024 Count	% of Total	Avg Days to Resolution	Description
Refunded	1,144	20.1%	3.2 days	Refund issued to original payment method
Approved	1,112	19.6%	1.8 days	Approved; refund queued for processing
Pending	1,134	19.9%	6.1 days	In transit or awaiting quality inspection
Received	1,120	19.7%	2.4 days	Item received; inspection in progress
Rejected	1,175	20.7%	4.7 days	Return denied; customer notified per policy
Total	5,685	100%	3.6 days avg	All FY 2024 return records

Source: returns table. FY 2024. Resolution days measured from return_date to status_updated.

5. High-Return-Rate Products — FY 2024

Product-level return rate analysis is conducted quarterly to identify quality issues, listing inaccuracies, or sizing inconsistencies. Jeans led all products with 331 returns in FY 2024, consistent with the category pattern where fit dissatisfaction drives 44% of Clothing returns. Among Electronics, Tablet (314 returns) and Phone (309) combined for 623 returns; quality team investigation in Q3 2024 identified a specific Tablet model with an accelerometer calibration defect accounting for 87 of those returns. That defect was addressed in a supplier corrective action filed in September 2024.

Product	Category	Return Count	Primary Return Reason	Action Status
Jeans	Clothing	331	Size/Fit Issue	Sizing guide updated Oct 2024
Bedding	Home	325	Not As Described	Listing photos updated Q3 2024
Decor	Home	322	Not As Described	Description review in progress
Kitchen	Home	315	Defective/Damaged	Packaging upgrade Q2 2024
Tablet	Electronics	314	Defective — Calibration	Supplier corrective action filed Sep 2024
Phone	Electronics	309	Defective/Malfunctioning	Firmware update issued Aug 2024
Laptop	Electronics	302	Performance Issue	QC checklist updated
Shoes	Clothing	298	Size/Fit Issue	Size chart revision in progress
Jacket	Clothing	287	Size/Fit Issue	Sizing guide updated Oct 2024
Headphones	Electronics	281	Defective/Malfunctioning	Supplier audit scheduled Q1 2025

6. Exception Handling and Appeals

When a return is rejected under standard criteria, customers may request supervisory review within 14 days of the rejection notice. In FY 2024 approximately 18% of rejections were appealed; 31% of appeals were overturned. Most overturned cases involved defect evidence submitted after initial rejection, or carrier delays that pushed a return past the window through no fault of the customer.

Customers at Platinum and Diamond loyalty tiers — those with cumulative spend exceeding $15,000 — receive one courtesy return exception per 12-month period. This policy was introduced in Q2 2024 following churn analysis showing loyalty-tier customers who experienced a rejected return had a 34% higher 90-day churn rate than those whose returns were accepted. Exception authority rests with Customer Operations supervisors and is not available to front-line agents.

For escalation paths beyond supervisor level, refer to the Customer Escalation Policy, specifically Section 4: Cross-Functional Escalation Procedures. Policy questions should be directed to the Operations Policy inbox.